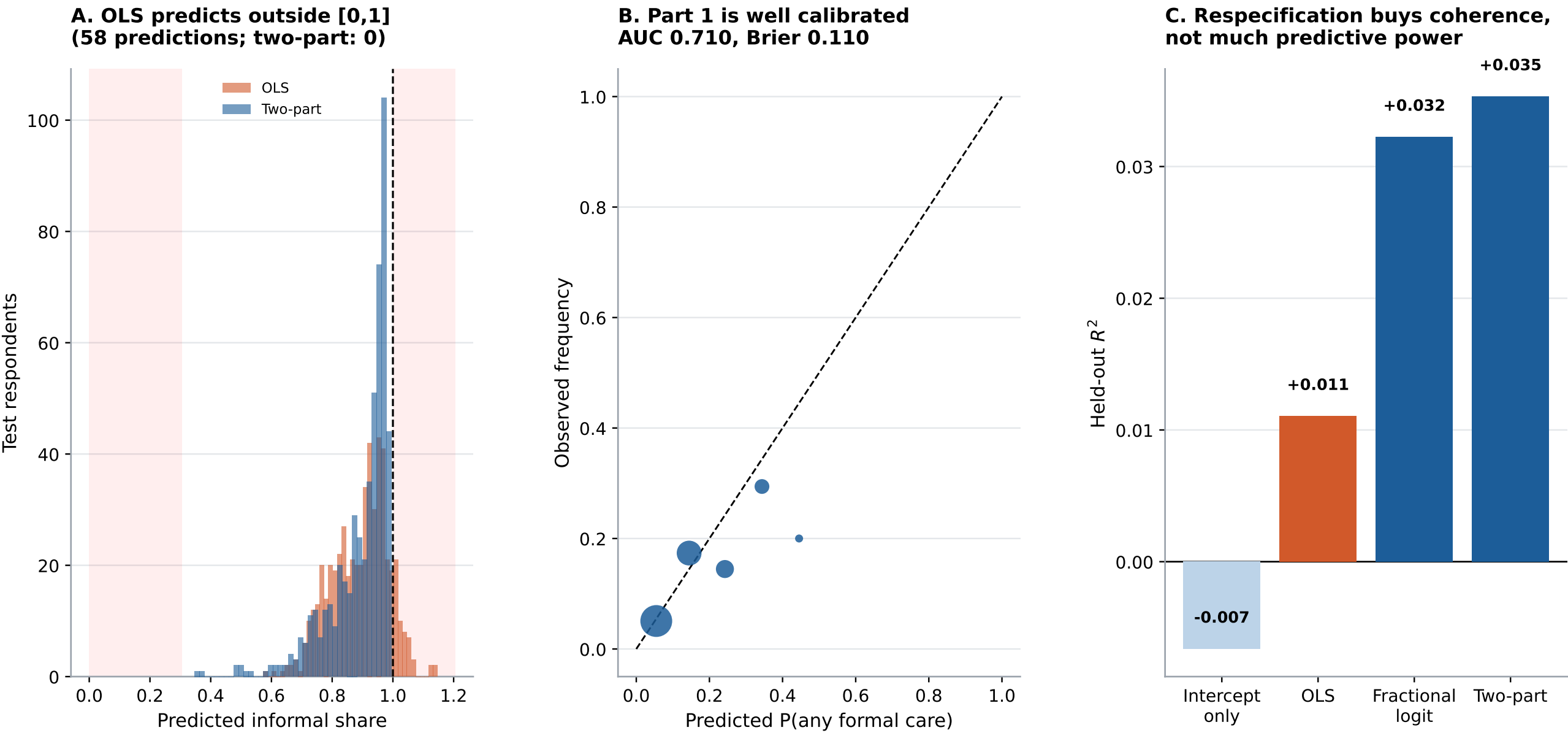


A bounded outcome with a spike at one needs a bounded likelihood



HRS 2022, n = 536 held-out respondents. Panel A: red bands mark the impossible region: a share below 0 or above 1. Panel B: each point is a decile of predicted probability, sized by the number of respondents in it; points on the diagonal mean predicted and observed frequencies agree. Panel C: all four models on the same held-out split. The two-part model is the only specification that is both coherent and competitive, which is why it is carried forward as the preferred specification in scripts 04 and 08.